CYPRUS VIP ESTATES

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# The *True Cost* of Buying Property in Cyprus (2026)

Every tax, fee and running cost from reservation to keys, with a worked example

**4% to 20%**
extra cost on top of the price, from a resale to a new-build at 19% VAT

**€42,000**
VAT difference between 5% and 19% on a €300,000 new-build

**€8,600**
transfer fee on a €300,000 resale, after the 50% reduction

**€0**
stamp duty on contracts signed from 1 January 2026

On a €300,000 purchase in Cyprus, the costs on top of the price run from about 4% for a resale to about 20% for a new-build at 19% VAT, as of October 2026. The category of the property sets the bill more than the price does. This guide lists every one-off and recurring cost, shows when each is paid and works through one realistic budget. Where a figure is a planning figure and not a statutory rate, the text says so.

## One-off costs at a glance: what you pay on top of the price, and when

A new-build bought from a developer carries VAT and no transfer fee. A resale carries a transfer fee and no VAT. You never pay both on the same purchase. The table shows each item as of October 2026.

| COST ITEM | NEW-BUILD (FROM DEVELOPER) | RESALE |
|---|---|---|
| VAT | 5% (main residence, within the limits) or 19% | None |
| Land Registry transfer fee | None when VAT is charged | 3% / 5% / 8% scale, halved by the current 50% reduction |
| Stamp duty | None: abolished for contracts signed from 1 January 2026 | None: abolished for contracts signed from 1 January 2026 |
| Legal fee | Planning figure: 1% plus 19% VAT on the fee | Planning figure: 1% plus 19% VAT on the fee |
| Land Registry charges | A few hundred euros; the contract deposit is €50 | A few hundred euros; the contract deposit is €50 |
| Agent's commission | Normally paid by the developer | Normally paid by the seller |
| Mortgage costs (if financed) | Registration 1%, arrangement about 1%, valuation about €400 | Registration 1%, arrangement about 1%, valuation about €400 |

*Legal fee, registry charges and bank fees are planning figures, not quotes.*

Timing follows the type of purchase. Published guidance puts a reservation fee at roughly €3,000 to €10,000, followed by a deposit of 20% to 40% at contract signing. On a resale the balance is due when title transfers. A new-build, especially off-plan, is paid in instalments, commonly 20-30% on signing, 40-50% in stage payments and 20-30% at handover, and the developer invoices VAT with each instalment.

# VAT on a new-build: the 5% and 19% rates, the limits and a worked example

The reduced rate of 5% applies only when an individual buys a new-build as a main and permanent residence, and it must be applied for. Investment property, a second home and purchases by a company pay 19%.

| PROPERTY | VAT |
|---|---|
| Main residence, first 130 m², value up to €350,000 | 5% |
| Home above 190 m² or a transaction above €475,000 | 19% on the whole price |
| Between the two limits (130 to 190 m², or €350,000 to €475,000) | Not set out in this guide: ask your lawyer in writing for the figure the Tax Department will apply, before you sign |

### VAT on a €300,000 new-build within the limits

| | |
|---|---|
| Price before VAT | €300,000 |
| VAT at 5% (main residence) | €15,000 |
| Price including 5% VAT | €315,000 |
| VAT at 19% (investment or second home) | €57,000 |
| Price including 19% VAT | €357,000 |
| **Difference between the two** | **€42,000** |

*A €600,000 villa is above €475,000, so 19% applies to the whole price: €114,000 of VAT.*

**CHECK BEFORE YOU COMPARE PRICES**

Developers often quote a price plus VAT, so confirm whether a figure includes it. Since 1 September 2026, whether a building counts as new for VAT depends on first use (systematic use for at least 18 months). The former test was five years from completion. A finished but never-occupied unit can therefore still carry VAT. The reduced rate also has a use condition: if the home stops being your main residence, the saving can be clawed back. Ask your lawyer to confirm in writing which regime applies to the exact unit.

# Transfer fee and stamp duty: what applies to a new-build and to a resale

A resale pays a Land Registry transfer fee on a progressive scale, applied to market value. The statutory rates are 3%, 5% and 8%. A 50% reduction currently applies, so the effective rates are 1.5%, 2.5% and 4% (as of October 2026). A new-build that carries VAT pays no transfer fee.

| PROPERTY VALUE | STATUTORY RATE | EFFECTIVE RATE (AFTER 50% REDUCTION) |
|---|---|---|
| Up to €85,000 | 3% | 1.5% |
| €85,001 to €170,000 | 5% | 2.5% |
| Over €170,000 | 8% | 4% |

| Transfer fee on a €300,000 resale | |
|---|---|
| 1.5% × €85,000 | €1,275 |
| 2.5% × €85,000 | €2,125 |
| 4% × €130,000 | €5,200 |
| **Transfer fee** | **€8,600** |

*The statutory scale without the reduction would give €17,200.*

The fee is charged on each buyer's share. Two buyers holding 50% each of a €300,000 flat pay about €5,800 in total instead of €8,600, a difference of about €2,800. Decide ownership on inheritance and family grounds first; your lawyer confirms the arithmetic.

> STAMP DUTY
>
> Stamp duty on property contracts is abolished for documents signed from 1 January 2026. A document signed by at least one party by 31 December 2025 stays under the old rules, even if completion comes later. A cost list that still shows a stamp duty line is out of date. Ask your bank to confirm that no charge applies to a mortgage deed.

# Legal fees, Land Registry charges, mortgage costs and currency exchange

Every purchase needs a lawyer who is independent of the seller and the developer. Published fee guidance runs from 1% to 2% of the price, or a flat fee, and 19% VAT is added to the fee. This guide uses 1% plus VAT as a planning figure: on €300,000 that is €3,000 plus €570 of VAT, or €3,570. Ask for a fixed quote in writing, and ask whether the contract deposit, the permit application for non-EU buyers and the transfer are included or billed separately.

- Land Registry charges: the contract deposit costs €50, and search and registration certificates are small fixed fees. This guide budgets about €300 in total; the lawyer handles them at completion.
- Agent's commission: normally paid by the seller, or by the developer on a new-build. Confirm in writing whom the agent represents and that no fee falls on you.

- Currency: every 1% of margin taken on an international transfer costs €3,000 on €300,000. Get a quote for the full amount before you choose a route.

| Mortgage costs on a €195,000 loan (35% deposit on €300,000, assumption) | |
|---|---|
| Registration fee, 1% of the loan | €1,950 |
| Bank arrangement fee, about 1% of the loan | €1,950 |
| Valuation fee, about | €400 |
| **Loan costs** | **€4,300** |

*Typical deposits are 30-40% for non-EU non-residents and about 25-30% for EU/EEA non-residents. The deposit itself comes on top of these costs.*

## Running costs of owning a property in Cyprus

The state immovable property tax was abolished in 2017, but municipalities still charge their own property tax at a rate each municipality sets; ask for the figure for your property. Recurring costs also include community or management fees on complexes with shared amenities, community charges, waste, sewerage and building insurance. Our rent-or-buy calculation puts them at roughly €935 to €1,650 a year for a typical apartment.

Rental income is added to your other income and taxed on the 2026 bands (as of October 2026):

| ANNUAL INCOME | RATE |
|---|---|
| Up to €22,000 | 0% |
| €22,000 to €32,000 | 20% |
| €32,000 to €42,000 | 25% |
| €42,000 to €72,000 | 30% |
| Above €72,000 | 35% |

If you later sell at a profit, capital gains tax is 20%. For contracts signed from 1 January 2026, lifetime exemptions are €150,000 on a main residence you have lived in for five years or more and €30,000 on any other property.

# Total budget for a €300,000 purchase: four routes, a full example and a checklist

The same €300,000 property costs different amounts depending on its category. The table assumes a cash purchase, a legal fee of €3,570 and €300 of Land Registry charges.

| ROUTE | EXTRAS ON TOP | TOTAL CASH | EXTRAS AS SHARE OF PRICE |
|---|---|---|---|
| New-build, main residence (5% VAT) | €18,870 | €318,870 | 6.3% |
| New-build, investment or second home (19% VAT) | €60,870 | €360,870 | 20.3% |
| Resale, one buyer | €12,470 | €312,470 | 4.2% |
| Resale, two buyers 50/50 | €9,670 | €309,670 | 3.2% |

*Mortgage costs, furnishing and a reserve are not included.*

### Full budget: €300,000 resale in one name, cash purchase

| | |
|---|---|
| Purchase price | €300,000 |
| Closing costs (transfer fee €8,600, legal fee €3,570, registry €300) | €12,470 |
| Furnishing and appliances (assumption, two-bedroom flat) | €15,000 |
| First-year running costs (about) | €1,300 |
| Reserve, 2% of the price (assumption) | €6,000 |
| **Total budget** | **€334,770** |

*About 11.6% above the price. Furnishing and reserve are assumptions; replace them with your own figures. The running costs are the midpoint of the €935 to €1,650 range.*

## Budgeting checklist

- [ ] Confirm whether the property is a new-build or a resale for VAT purposes, and whether the quoted price includes VAT.
- [ ] Check floor area and price against the 5% VAT limits before you make an offer, and get your lawyer's confirmation in writing.
- [ ] Get a fixed legal fee quote in writing, including VAT, with a list of what it covers.
- [ ] On a resale, ask your lawyer to calculate the transfer fee for single and for joint ownership.
- [ ] If you finance the purchase, ask the bank for registration, arrangement and valuation costs, and whether it funds stage payments or only the final balance.
- [ ] Get an exchange-rate quote for the full amount before you transfer the money.
- [ ] Add furnishing, first-year running costs and a reserve to the total.

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# Get a personal cost calculation

Tell Cyprus VIP Estates your total cash and what the property is for: living, letting or residence. We will show what that budget reaches as a new-build or a resale, with or without a mortgage. Ask for a personal consultation.

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This guide gives general information as of October 2026. It is not legal or tax advice; check every figure with a licensed lawyer or tax adviser before you commit.



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